CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ECC7EBCAF
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Tana Jones <tana.jones@enron.com>
Sent: Thu, 28 Oct 1999 02:58:00 -0700 (PDT)
To: Mark Taylor <mark.taylor@enron.com>
Subject: Forcenergy News

---------- Forwarded by Tana Jones/HOU/ECT on 10/28/99 09:57 AM ----------

"Rick Antonoff" <rantonof@cwt.com> on 10/28/99 09:04:44 AM
To: Lisa Mellencamp/HOU/ECT@ECT, Mark Taylor/HOU/ECT@ECT, Rod Nelson/HOU/ECT@ECT, Fred Lagrasta/HOU/ECT@ECT, Tana Jones/HOU/ECT@ECT, Suzanne Adams/HOU/ECT@ECT
cc:
Subject: Forcenergy News

The following is reported today in one of the daily bankruptcy news services I receive. I thought you might be interested in keeping up with Forcenergy's bankruptcy case which appears to be headed toward confirmation with more than a
few hiccups along the way.

Forcenergy Wins Court OK Of Plan Disclosure Statement
Forcenergy Inc. on Oct. 22 won
bankruptcy court approval of the disclosure statement
related to its plan of reorganization.
Doug Walter of Andrews & Kurth, counsel to the
oil & gas producer, said that Judge Thomas M. Brahney III
of the U.S. Bankruptcy Court in New Orleans said he
would approve the disclosure statement after numerous
objections were resolved prior to last Friday?s hearing.
A final order has not been signed, but Judge
Brahney indicated his intent to sign the order at the hearing,
Walter added.
Walter said that Forcenergy hopes to begin
soliciting votes on the reorganization plan on Nov. 3.
Solicitation materials are currently being drafted.
Judge Brahney has scheduled a plan confirmation
hearing for Dec. 13.
As reported, the disclosure statement was amended
after the creditors? committee, while supporting the plan,

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ECC7EBCAF
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-160299073886

found the disclosure statement to be lacking information in a number of areas. The document was amended to clarify a few of the secured claims that will be paid in full in cash, rather than over time.

The creditors noted that the plan proposes a distribution to equity shareholders in an amount close to 50% of the current value of their interests, while unsecured creditors will only receive close to 60% of the value of their claims.

Baker Hughes Oilfield Operations Inc., Baker Petrolite Corp. and Western Atlas International Inc. had asserted in a Sept. 15 objection that the plan violated the absolute priority rule and was thus not confirmable.

The Baker Hughes group also took issue with the plan for lumping all lien creditors into one class. "The Proposed Plan wholly fails to address the issue that the various lien creditors have liens against properties which may vary greatly in value," the Baker Hughes group said.

It added that the plan is thus not confirmable as the secured claimants are not properly classified into separate classes

According to Walter, the disclosure statement was revised to allow for four different treatments of around $34 million in miscellaneous secured claims.

Liens designated sub-class A, claims senior to other secured claims, will be paid out in full in cash. Sub-class B liens, those outside Louisiana, will be asked to accept 85 cents on the dollar for their claims. Sub-class C liens, those that attach in Louisiana, will be asked to accept 80 cents on the dollar for their claims. And, finally, all other liens, those in sub-class D, may be challenged.

If sub-class D liens are found to be legitimate, they will be paid in cash in full over time, or their collateral will be returned to them. However, Forcenergy says it will not return any collateral constituting a mineral lease.

As reported, Forcenergy?s plan of reorganization is expected to provide holders of allowed general unsecured claims with a 62% recovery through the distribution of 23.04 million shares of new common stock on a pro rata basis.

On Sept. 22 the hearing on the adequacy of the disclosure statement began. It was then continued until Oct. 15, and then again to Oct. 22, in order to give the company time to supplement the document and address the objections. --end--

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ECC7EBCAF
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

|----------|
|NOTE: The information in this email is confidential and may be |
|legally privileged. If you are not the intended recipient, you |
|must not read, use or disseminate the information. Although this |
|email and any attachments are believed to be free of any virus or |
|other defect that might affect any computer system into which it |
|is received and opened, it is the responsibility of the recipient |
|to ensure that it is virus free and no responsibility is accepted |
|by Cadwalader, Wickersham & Taft for any loss or damage arising in|
any way from its use.

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ECC7EBCAF
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.